

Apex Retail Pvt Ltd

Sales and Operations Performance Report FY2025

Executive Summary

The Sales and Operations Performance Report for FY2025 provides a detailed review of Apex Retail Pvt Ltd's commercial performance, customer conversion trends, inventory efficiency, fulfillment operations, and category-level results across the financial year. While the company faced pressure in overall revenue and profitability, the report highlights clear operational drivers behind the decline as well as several growth opportunities for the upcoming year.

Total sales for FY2025 declined versus the previous year, driven primarily by weakness in the electronics and accessories categories, lower repeat customer activity, reduced website conversion, and fulfillment delays in key markets. However, strong momentum in fashion, beauty, and South region demand partially offset these pressures.

Operationally, the organization managed increased order volumes through mobile channels but encountered challenges in stock forecasting, warehouse throughput during peak seasons, and reverse logistics costs. Management has identified process improvements that are expected to enhance sales productivity and operating efficiency in FY2026.

Overall Sales Performance

Total gross merchandise sales for FY2025 were lower than internal forecasts and below prior year performance. Quarterly trends indicate a gradual slowdown across the year, with the weakest results recorded during the final quarter.

Annual sales progression was influenced by the following factors:

- Competitive discounting across electronics and daily-use categories
- Lower website conversion rate due to checkout friction
- Higher cart abandonment levels
- Supply shortages in high-demand products
- Slower repeat purchase frequency
- Stronger than expected performance in fashion and beauty

Quarterly sales were recorded as follows:

Q1: \$3.55 million

Q2: \$3.28 million

Q3: \$3.02 million

Q4: \$2.81 million

The downward trend in Q3 and Q4 was largely associated with market competition and operational bottlenecks during the festive and year-end periods.

Monthly Sales Review

Monthly sales patterns showed volatility depending on category launches, promotions, and supply availability.

January delivered stable post-holiday demand supported by beauty and essentials products. February remained moderate with softer electronics demand. March improved due to end-of-season campaigns. April and May saw stronger fashion-led sales, while June experienced logistics delays in North India.

July and August were stable, but September through December reflected increasing pressure from competitor discount campaigns and declining conversion rates.

Monthly average sales ranged between \$770,000 and \$910,000, with December being the lowest-performing month due to delayed dispatches and high promotional competition.

Category Performance Analysis

Electronics

Electronics remained the largest category by revenue but was the weakest performer during FY2025, declining 14 percent year-over-year.

Primary causes included:

- Frequent stock-outs of fast-moving products
- Heavy competitor discounting
- Price comparison behavior among customers
- Longer delivery commitments in metro markets

Fashion

Fashion sales increased 6 percent and became one of the strongest-performing segments.

Growth was supported by:

- Festive season collections
- Influencer collaborations
- Improved assortment planning
- Higher female customer repeat rates

Home Decor

Home decor increased 3 percent, supported by gifting demand and bundled purchases.

Accessories

Accessories declined 9 percent due to reduced impulse purchasing and lower cross-sell conversion during checkout.

Beauty and Wellness

Beauty increased 8 percent with strong app-led reorder behavior and promotional bundles.

Regional Sales Performance

North Region

Sales in North India declined 18 percent and represented the most urgent performance issue.

Key reasons included:

- Aggressive local competitor pricing
- Delivery delays in NCR and nearby clusters
- Lower store footfall in premium malls
- Weak paid ad conversion efficiency

South Region

South India recorded growth of 11 percent and outperformed all internal expectations.

Drivers included:

- Fast delivery service levels
- High app adoption
- Strong demand in Bengaluru and Hyderabad
- Better category mix toward fashion and beauty

West Region

West India declined 4 percent. Mumbai remained relatively stable, while tier-2 markets slowed due to pricing sensitivity.

East Region

East India grew 2 percent through improved online penetration and value-product demand.

Conversion Funnel Performance

The digital conversion funnel weakened significantly during FY2025.

Website traffic remained stable overall, but fewer visitors completed purchases.

Key metrics were:

Website Conversion Rate: declined from 3.2 percent to 2.4 percent

Cart Abandonment Rate: increased from 58 percent to 70 percent

Repeat Purchase Frequency: declined by 16 percent

Checkout Completion Speed: slower than target benchmarks

Customer research indicated the following friction points:

- Unexpected delivery timelines shown late in checkout
- Limited payment flexibility in some geographies
- Coupon code failures during promotional periods
- Slow mobile page load speed during traffic spikes

These issues materially impacted topline sales performance.

Mobile Commerce Performance

The mobile application emerged as the strongest digital channel during FY2025.

Orders through the mobile app increased from 49 percent of total transactions to 63 percent. App customers demonstrated higher repeat purchase frequency and better average basket values compared with web users.

Strongest app-led categories were:

- Beauty
- Fashion
- Home essentials

This suggests future investment should prioritize app-first experiences, loyalty features, and personalized offers.

Inventory Management Review

Inventory planning challenges were a major contributor to lost sales in electronics and seasonal categories.

Observed issues included:

- Under-forecasting demand for promotional SKUs
- Excess stock in slower accessory lines
- Delayed replenishment from suppliers
- Inconsistent stock visibility across channels

Inventory fill rate averaged 91 percent, below the internal target of 96 percent.

Management estimates that stock-outs alone reduced annual revenue by approximately 3 to 4 percent.

Fulfillment and Delivery Performance

Operational service quality directly impacted customer conversion and retention.

FY2025 fulfillment metrics:

On-Time Delivery Rate: 87 percent
Average Delivery Time: 3.9 days
Peak Season Delay Rate: 14 percent
Return-to-Origin Rate: 5.4 percent

North region performance was materially weaker than South region due to warehouse congestion and courier dependency.

Improving delivery reliability is considered a strategic priority.

Returns and Reverse Logistics

Returns increased in electronics and apparel categories.

Main reasons:

- Product mismatch expectations
- Size and fit issues in fashion
- Transit damage in fragile electronics
- Customer remorse purchases during promotions

Reverse logistics cost increased significantly and reduced gross margin.

The company plans stronger product content accuracy, better sizing guidance, and packaging upgrades.

Sales Team Productivity

Offline store sales staff productivity varied significantly across locations.

High-performing stores shared common traits:

- Better conversion coaching
- Faster billing processes
- Strong local inventory availability
- Active cross-selling discipline

Lower-performing stores often faced staffing gaps and inconsistent merchandising execution.

Management intends to introduce store productivity scorecards in FY2026.

Key Root Causes Behind Sales Decline

Based on full-year analysis, the major drivers of underperformance were:

- North region competitive pressure
- Electronics stock shortages
- Higher cart abandonment
- Lower repeat customer contribution
- Reduced marketing efficiency
- Delivery delays in key markets

These factors collectively outweighed growth in stronger segments.

Recommended Actions for FY2026

Revenue Recovery

- Rebuild North region pricing competitiveness
- Relaunch customer win-back campaigns
- Improve festive season planning

Conversion Improvement

- Simplify checkout process
- Improve payment options
- Increase site and app speed

Inventory Excellence

- Deploy AI demand forecasting
- Better supplier replenishment cycles
- Real-time stock balancing

Delivery Performance

- Expand regional fulfillment hubs
- Diversify courier partners
- Improve dispatch automation

Customer Retention

- Launch loyalty membership program
- Personalized repeat-purchase offers
- Stronger CRM lifecycle journeys

Outlook

The company believes that most FY2025 sales challenges were executional rather than structural. Demand remains healthy in several categories and geographies. With better inventory planning, stronger customer retention, improved conversion, and sharper regional strategies, Apex Retail expects to return to growth momentum in FY2026.